

In the Supreme Court of Bangladesh
High Court Division
(Special Statutory Jurisdiction)

Present:

Mr. Justice Md. Bazlur Rahman

And

Mr. Justice Syed Mohammed Tazrul Hossain

Customs Appeal No. 963 of 2021

In the matter of:

An appeal under Section 196D of the Customs Act, 1969.

-AND-

In the matter of:

The Commissioner of Customs, Customs House, Chattogram.

.....Appellant

-Versus-

Customs, Excise and VAT Appellate Tribunal,
Jibon Bima Bhaban (3rd Floor), 10, Dilkusha
Commercial Area, Dhaka-1000 and another

..... Respondents

Mr. Md. Mohaddesh-UI-Islam, D.A.G with

Mr. Ali Akbor Khan, A.A.G with

Mr. Manjur Elahi Parag, A.A.G

.... For the appellant

Mr. A.R.M Qayyum Khan, Advocate

... For the respondent No. 2

Heard on: 20.11.2024, 27.11.2024

&

Judgment on: 11.12.2024

Syed Momammed Tazrul Hossain,J:

1. This appeal under section 196D of the Customs Act 1969 has been preferred against the judgment and order dated 14.10.2021 (communicated on 17.10.2021) passed by the respondent Number- 1, in CEVT/CASE(Cus)- 165/ 2021 allowing the appeal thus setting aside the order being number 347, dated 08.02.2021 passed by the Commissioner of Customs, Customs House, Chattogram, contained in Nothi No. 100/বিবিধ/এপি/সেকশন-৯(বি)/২০১৭-২০১৮/১০৮৬৭ (কাস).

2. Short facts relevant for disposal of the present appeal are that the Respondent No. 2 opened a letter of credit being number 00 134 1160 10857, dated 05.12.2016 for import of 200 reconditioned cars from Japan, part shipment was allowed and the petitioner imported 32 cars under two invoices in two consignments of 16 cars and both invoices were dated 14.12.2016. After the cars arrived at Chittagong port the C&F agent of the responder number 2 submitted bills of entry being number C- 124 1980, C- 124 1981, C- 124 1982, C- 124 1983, C- 124 1984, C- 124 1985, C- 124 1986, C- 124 1987, C- 124 1988, C- 124 1989, C- 124 990, C- 1241991, C- 1241 992, C-124 19 93, C- 1241194 and C- 1241115, all dated 03.10.2017 and bills of entry being number C- 138 4692, C- 1384698, C- 138 4704, C- 13847 08, C- 138 4711, C-138 4717, C- 138 4724, C- 138 4731, C- 138 4736, C- 138 4741, C- 138 4747, C- 138 4753, C- 138 4759, C-

138 4770, C- 138 4773 and C- 138 4779, all dated 05. 11. 2017 to the Commissioner of customs for assessment and release of the vehicles. The customs authority, upon receiving the necessary documents, proposed to assess the imported cars based on the minimum value fixed for each model. This valuation was determined by calculating the average of all prices quoted for each model code in the latest edition of the Yellow Book published in Japan. When it was found that the authority was taking an excessive amount of time in assessing and releasing the vehicles, Respondent No. 2 filed a writ petition No. 14684 of 2017, challenging the customs authority's inaction and failure to release some of the imported cars. Subsequently, Respondent No. 2 filed another Writ Petition, being No. 613 of 2018, seeking a directive for the customs authority to complete the assessment of the remaining cars. Both writ petitions were heard together, and a Division Bench of this Court, after considering the submissions of the parties, disposed of the cases with a directive to the writ petitioner to respond to the communications from the customs authority. In compliance with this directive, Respondent No. 2 submitted the required documents. During the assessment process, the customs authority discovered a discrepancy between the House Bill of Lading submitted by the importer and the Master Bill of Lading concerning the shipment dates of the vehicles. Based on this discrepancy, it was determined that the vehicles were over five

years old and therefore import-prohibited under the applicable regulations. Consequently, Respondent No. 2 was issued a show-cause notice dated 05.11.2020 under Section 180 of the Customs Act, 1969. Respondent No. 2 replied to the show-cause notice, and the Commissioner of Customs upon conducting a hearing in presence of the respondent No.2 issued an adjudication order, vide order No. 347, dated 08.02.2021 and directed the confiscation of the imported vehicles and imposed a penalty of Tk. 32,00,000/- (thirty-two lacs) on the importer. Against the said order of the Commissioner of Customs, respondent No. 2 filed an appeal before the Customs, Excise and VAT Appellate Tribunal, Dhaka (hereinafter CEVT). Upon hearing the parties, CEVT vide its order, dated 14.10.2021 allowed the appeal and set aside order No. 347, dated 08.02.2021 passed by the Commissioner of customs. Being aggrieved with the said order of the CEVT, Commissioner of Customs preferred the instant Appeal.

3. Mr. Mohaddes Ul Islam, learned Deputy Attorney General appearing with Mr. Manjur Elahi Parag, learned Assistant Attorney General, placed the paper book and the relevant records. He submits that after the C&F agent of the respondent No.2 submitted two sets of bills of Entries dated 03.10.2017 and 05.11.2017 respectively, the customs authority opened a Note Sheet contained in Nothi No. 100/bbidho/ep/sekshon 9(bi)/2017 - 2018 for assessment of the imported vehicles.

While the customs authority was in the process of the assessment, respondent No. 2, filed writ petition No. 14684/2017 and Writ Petition No. 613/2018 seeking direction upon the customs authority to complete the assessment and release of their imported vehicles. Both the writ petitions were heard analogously and were disposed of with a direction upon the respondent No. 2 to submit required documents before the customs authority.

4. Then the respondent No. 2 submitted necessary documents and during scrutiny, the customs authority discovered that even though the House B/L submitted by the respondent was shown to be dated on 14.12.2016, but the corresponding Master B/L showed that the said consignments were laden on board the vessel on 06.09.2017 and on 26.09.2017 respectively, hence the said recondition vehicles imported by the respondent No. 2, being older than 5 years were import banned under the provision of Import Policy Order 2015-2018. Considering the above aspect, the commissioner of Customs by an order, dated 08.02.2021 confiscated the vehicles and also imposed a penalty of Tk. 32 (thirty two) lacs under Clause 9(i) and 14 of the Table under Section 156(1) of customs Act, 1969 for violation of Section 16 and 32 of the said Act. Against the said order, dated 08.02.2021, respondent No. 2 preferred Appeal before the Customs, Excise and VAT Appellate Tribunal, Dhaka under the provision of Section 196A of the Customs Act, 1969

and the same was numbered as CEVT/CASE (Cus)- 1657/2021. Thereafter, the tribunal upon hearing the parties vide its order, dated 14.10.2021 on erroneous findings allowed the appeal.

5. He submits that the Tribunal failed to realize the pertinent point in the instant case and failed to consider the misdeclaration made by the importer with an ulterior motive to defeat the legal provision under the Import Policy Order 2015 – 2018 banning the import of reconditioned vehicles older than five years into the country.

6. He submits that the importer submitted 16 House Bills of Ladings, all dated 03.10.2017 and another 16 House Bills of Lading all dated 05.11.2017 for importing 32 reconditioned cars, but their corresponding Master Bills of Lading being 0087A53075 and 0087A53076 respectively were actually dated on 06.09.2017 and 26.09.2017; these facts were clearly established through undeniable documents which shows that the respondent No. 2 was involved in an attempt to bring import banned items within the country which is an offence under Section 32 of the Customs Act, 1969 and the Commissioner of Customs has correctly passed the order, dated 08.02.2021 by confiscating the imported vehicles and imposing penalty under the provisions of Table 14 of Section 156 of the Customs Act, 1969. The Tribunal failed to appreciate the said facts and relevant legal provision and

reached to a wrong conclusion and allowed the appeal which is not at all sustainable.

7. He submits that during the assessment process, the Customs authority conducted a thorough investigation in the matter and recorded in minute details in Note No. 74,75,76, and 77 of the Note Sheet about the suspicious activities carried out in relation to the instant consignments of the reconditioned vehicles, but the Tribunal completely overlooked the same and misdirected themselves and on wrong interpretation of the legal provisions allowed the appeal which is liable to be set aside.

8. Mr. Islam further submits that the case references presented by the respondent No. 2; i.e. the judgments passed in Writ Petition No. 6224/2006, Writ Petition No. 3125/2015 and Writ Petition No. 3126/2015 are not applicable in the instant case and the Tribunal has fallen in severe mistake by allowing the appeal and hence instant appeal should be allowed and the order of the tribunal below should be set aside.

9. Mr. A.R.M. Qayyum Khan appearing for the respondent No. 2 submits at the outset that the Tribunal upon properly appreciating the legal provisions and the applicable laws has rightly allowed the appeal and there is no reason for this Division to interfere with the findings of the Tribunal below.

10. He submits that the respondent No. 2 opened Letter of Credit being No. 1341/16/01/0857, dated 05.12.2016 for

importing in total 200 reconditioned vehicles from Japan and as part shipment imported 152 vehicles. Customs authority assessed and released 120 vehicles, but for no fault on the part of the said respondent refused to assess and release 32 vehicles. He submits that the respondent's freight forwarder issued House Bills of Lading, dated 14.12.2016 and accordingly it submitted the said Bills of Lading and other related documents for the Customs Authority to assess and release the vehicles of the importer but, the said authority arbitrarily refused to release the vehicles and the Tribunal below was correct to hold the view that the vehicles imported by the respondent No. 2 were not contrabanned and were required to be assessed and released.

11. Mr. Khan Submits that it has been long established in our jurisdiction that for assessment of reconditioned vehicles, House Bills of Lading is to be taken into consideration by the customs authority in assessing the date of shipment and applicable duties and levies and the Tribunal below has been absolutely correct to uphold the said legal position and it has not at all committed any error in allowing the appeal.

12. He submits that under the provision of Section 3 of the Bills of Lading Act, 1856, every bill of lading in the hands of a consignee or endorsee for valuable consideration, representing goods to have been shipped on board a vessel, shall be conclusive evidence of such shipment as against the master or other person signing the same, notwithstanding that such goods

or some part thereof may not have been so shipped, Said provision of law has been repeatedly upheld and bolstered by this Division and our Apex Court in many cases. Mr. Khan submits the judgments passed in writ petition No. 6224/2006, writ petition No. 3125/2015 where similar issues as in the instant case was raised. The date in House Bill of Lading and the date in Master Bill of Lading differed, but in light of the provision of Section 3 of the Bills of Lading Act, 1856 this Division in the said matters found that the date appearing on the House Bill of Lading is to be considered in calculating the age of the reconditioned vehicles. Hence the order of the Tribunal below allowing the appeal has been based on proper appreciation of the provisions of law and as such instant appeal should be rejected.

13. We have heard the learned advocates from both the sides, perused the paper book and the LCR, carefully gone through the materials on record, considered the applicable laws and case references produced by the parties.

14. The point at issue in the instant case is very clear; whether the House Bills of Lading, dated 14.12.2017 presented by the respondent No. 2 in relation to the imported reconditioned vehicles should be accepted by the customs authority as the date of shipment in determining the age of the said vehicles and be accordingly assessed and released.

15. A bill of lading is a crucial legal document in international trade and shipping. Its primary purpose is to serve as a receipt, a contract, and a document of title for the goods being transported. It acts as evidence that the carrier has received the goods in good condition or as described in the Bill of Lading. Bills of lading are primarily of two kinds; house bill of lading and master bill of lading. If the shipper takes assistance of a freight forwarder or a Non-Vessel Operating Common Carrier (NVOCC) for transporting its goods, the freight forwarder or the NVOCC finds a suitable shipping line and vessel for transporting the shipper's goods. Upon receiving the goods from the shipper, the freight forwarder or the NVOCC issues a bill of lading which is called a house bill of lading (HBL), it basically includes the shipper's details, consignee's details, notify party details, carrier information, description of goods, voyage and port details, marks or number on the packages or container, bill of lading number, freight charges, date of shipment, signature and seal, etc. on the other hand a master bill of lading (MBL) is issued by a ship owner or operator, known as a carrier. MBL is issued when the carrier receives the goods on board the vessel. Both the House and Master Bill of Lading contain the same accurate, precise, and detailed information about cargo (the number of containers, seal numbers, weight, measurements, etc.). The shipper, consignee, and notify party are the only details that might be different between the HBL and MBL. Another detail that may

vary between the HBL and the MBL is the date. Because HBL is issued on the date the freight forwarder or NVOCC receives the goods at its premises or when the contract for transportation is concluded. On the other hand MBL is issued once the goods are received on board the vessel. In international trade usual difference of date of the HBL and MBL is 1-3 days, but at extreme circumstances, it could be even 10-15 days, because it might take longer than expected for the consignment to get to the port of lading provided the designated vessel and voyage is still on; otherwise, the HBL will have to be changed to reflect the variation.

16. In the instant case, the respondent No. 2, opened Letter of Credit, dated 05.12.2016 to import reconditioned vehicles from Japan. At the relevant time, under the provision of Import Policy Order 2015 - 2018, reconditioned motor car, microbus, minibus, jeep and other such vehicles and tractor could be imported on the condition that on the date of shipment, the vehicle would not be older than 5 years; for determining the age of the vehicle, day will be counted from the 1st day of the immediate next year from the date of manufacture of chassis of the vehicle. Due to this restriction regarding the age of the vehicle, the date of shipment is of paramount significance to an importer of reconditioned vehicles, like the instant respondent No. 2.

17. Learned advocate for the respondent No. 2, in his quest to impress upon this court and to show that the reconditioned

vehicles imported by the said respondent were not older than 5 (five) years has shown that the vehicles were manufactured in the year 2011 and as per law, counting the age of the vehicles will start from 1st January, 2012 and they will complete 5 (five) years of age on 31st December, 2016. But the respondent No. 2 as per the Bill of Lading, produced by it, has shipped the vehicles on 14.12.2016, before the vehicles completed their 5th year from the date of manufacture and hence the said vehicles were not contrabanned under the provisions of law. In this regard learned advocate referred the provision of Section 3 of the Bills of Lading Act, 1856, which reads as follows:

"every bill of lading in the hands of a consignee or endorsee for valuable consideration, representing goods to have been shipped on board a vessel, shall be conclusive evidence of such shipment as against the master or other person signing the same, notwithstanding that such goods or some part thereof may not have been so shipped, unless such holder of the bill of lading shall have had actual notice at the time of receiving the same that the goods had not in fact been laden on board; Provided that the master or other person so signing may exonerate himself, in respect of such misrepresentation, by showing that it was caused without any default on his part, and wholly by the fraud of the shipper or of the holder, or some person under whom the holder claims."

18. Said Section of the Act, 1856 stipulates that every bill of lading in the hands of a consignee or endorsee for valuable consideration representing goods to have been shipped on board a vessel shall be conclusive evidence of such shipment as against the master or other person. Applying the aforesaid provisions to the facts of the present case, as already noticed hereinbefore, the bill of lading in question, produced by the respondent No. 2 it was shown that the vehicles are not older than five years and they are not import banned items and as such the vehicles imported by the respondent No. 2 should be assessed regularly and released accordingly by the customs authority.

19. Learned advocate for the respondent No. 2 in support of his argument has also referred two unreported judgments, passed by the High Court Division in Writ Petition No. 6224 of 2006 and Writ Petition No. 3125 of 2015. In both the cases, the dispute was regarding the date of shipment and it was held that House Bill of Lading is to be taken into consideration for calculating the age of the reconditioned vehicles. In writ petition No. 6224/2006 as per the House bill of lading vehicles were shipped on 24.12.2005 but, the customs authority showed that as per corresponding Master bill of lading those vehicles were shipped on 06.01.2006 and as such the vehicles were older than 4 years on the date of shipment and hence were banned under the import policy order 2003 - 2006. This court,

relying upon the provision of Section 3 of the Bills of Lading Act, 1856, held that house bill of lading is to be accepted as the date of shipment. In the case of writ petition No. 3125/2015 neither the date of House Bill of Lading nor the date of Master Bill of Lading was mentioned, nevertheless it was held that the date of HBL is to be considered as the date of shipment.

20. Every case should be considered and judged in the light of its own facts and circumstances. It is clear that in case of both the above referred decisions, it was decided to accept the house bill of lading as the evidence of shipment solely relying on the 1st part of Section 3 of the Bills of Lading Act, 1856. But, in neither of the judgments the proviso of Section 3 of the said Act was raised or discussed. A bonafide consignee or endorsee for valuable consideration can hold a bill of lading as a conclusive evidence of shipment against the Master of a vessel; but under the proviso of the said section such presumption can be rebutted or shrugged off by the Master or the person signing the said MBL by showing that there has been a misrepresentation in the bill of lading and such misrepresentation was not caused by his fault, or that it was caused by fraud of the shipper or of the holder, or some other person under whom the holder claims.

21. In the instant case, the customs authority found that the HBL submitted by the respondent No. 2 has shown that the vehicles were laden on board the vessel on 14.12.2016 but the MBL

showed the vehicles to have been laden on board the vessel on 06.09.2017 and on 26.09.2017 respectively. This discrepancy in the lading dates of the vehicles show a significant difference of about 9 (nine) months. Upon finding this unacceptable difference of lading dates of the vehicles, the customs authority took steps to find out the reason for the said variation of dates. They contacted Columbia Enterprise Ltd., the local agent of the Main Line Operator that carried the vehicles. The information provided by the said local agent and from the information shown in the Import General Manifest (IGM) in the ASYCUDA World System submitted by the Main Line Operator of the vessel, it was discovered that there were two Master Bills of Lading being No. 0087A53075 and 0087A53076. As per said MBLs, vehicles of the respondent No. 2 were laden on board the vessel from Kobe, Japan and MBLs were issued on 06.09.2017 and 26.09.2017 respectively. It was also found that all the information of the HBL submitted by the respondent No. 2 including the name of the vessel, shipping lines, shipping agent, shipper, consignee, Notify Party, Voyage number of the vessel, country and port of lading, description of the shipped goods, chassis number of the vehicles, container number, etc. completely matched with the MBLS mentioned above, except the date of lading the vehicles on board the vessel and issuance of the HBL.

22. In such a situation, if the date of HBL, i.e. 14.12.2016 is held to be a date of shipment; it will lead to an absurd conclusion. As per the said HBL, vehicles were laden on board the same vessel which carried the vehicles on 14.12.2016 and after more than 9 (nine) months said vehicles reached at Chittagong port. On the other hand if it is accepted as evidenced from the MBL Nos. 0087A53075 and 0087A53076 that the vehicles were laden on board the vessel on 06.09.2017 and 26.09.2017 respectively from Kobe, Japan and reached Chattogram Port on 02.10.2017 and 27.10.2017 respectively upon transshipment at Malaysia, it shows to be a more likely event that had actually taken place.

23. It may be noted that apart from all other information contained in the HBL submitted by the respondent No. 2, which matched with the MBLS, the name and voyage number of the vessel that carried the vehicles also matched with the MBLS, it is not in the usual course possible to get the correct and matching voyage number and the vessel name about 9 months in advance. However, even if somehow it becomes possible to get correct voyage number and a vessel's name in advance of a period of more than 9 (nine) months it does not look to be normal for the importer to do so. This fact sadly leads to the conclusion that the date shown on the HBL submitted by the respondent No. 2 may have been manipulated or distorted and hence became unreliable. The HBL, dated 14.12.2016, therefore, in our view brings the same under the proviso of Section 3 of the Bills of

Lading Act, 1856 and it loses the legal value and cannot actually be used as a conclusive evidence of ownership and shipment of the vehicles against the Main Line Operator that carried the vehicles and as such cannot be accepted by the customs authority to determine the date of shipment of the vehicles to calculate the age of the vehicles. Accordingly, it is found that as per the acceptable date of shipment as evidenced from the MBL being 06.09.2017 and 26.09.2017 respectively, the vehicles imported by the respondent No. 2 have become older than 5 (five) years and as per Import Policy Order 2015 - 2018 have become contrabanned item.

24. In the case of C.I.T. Vs. Sun Engineering Works Pvt. Ltd. Reported in [1992]198 ITR 297 (SC) the Indian Supreme Court has cautioned against reading its own judgment in a truncated manner in following words: "It is neither desirable nor permissible to pick out a word or a sentence from the judgment of this Court, divorced from the context of the question under consideration and treat it to be the complete 'law' declared by this Court. The judgment must be read as a whole and the observations from the judgment have to be considered in the light of the questions which were before this Court. A decision of this court takes its colour from the questions involved in the case in which it is rendered and, while applying the decision to a later case, the courts must carefully try to ascertain the true principle laid down by the decision of this court and not to pick out words or

sentences from the judgment, divorced from the context of the questions under consideration by this Court, to support their reasonings. Again in *Madhav Rao Jivaji Rao Scindia Bahadur Vs. Union of India*, reported in 3 SCR 9, it was observed that "It is not proper to regard a word, a clause or a sentence occurring in a judgment of the Supreme Court, divorced from its context, as containing a full exposition of the law on a question when the question did not even fall to be answered in that judgment".

25. In light of the above observations, it may be found that the Judgment passed by this Division in a case might not be applicable in a subsequent and seemingly similar case, but where the context and the questions raised is somewhat different. In writ Petition No. 6224/2006 and writ petition No. 3125-3126 of 2015 or even in case of the Civil Petition for Leave to Appeal Nos. 2768-2769 of 2015 even though the customs authority raised the issue of difference of dates between the HBL and MBL, but it appears that in those cases the authority failed to produce any evidence or record to show that there were cogent reasons not to rely upon the House Bill of Lading which was submitted by the importer and therefore it is found that the case references produced by the respondent No. 2 being the judgment, dated 08.02.2007 passed in writ petition No. 6224 of 2006, judgment, dated 08.07.2015 passed in writ petition No. 3125-3126 of 2015 by this Division and the order, dated

22.11.2015 passed in CP No. 2768-2769 of 2015 by the Hon'ble Appellate Division is not applicable in the instant case.

26. Considering the facts and circumstances, provisions of law and decisions as referred to and the discussions made above we find substance to maintain the instant appeal.

27. Accordingly, the Appeal is allowed and the order, dated 14.10.2021 (communicated on 17.10.2021) passed by the Customs, Excise and VAT Appellate Tribunal in CEVT/CASE(CUS)-165/2021 is set aside and the order No. 347, dated 08.02.2021, passed by the Commissioner of Customs, Chattogram as contained in Nothi No. 100/বিবিধ/এপি/সেকশন-৯(বি)/২০১৭-২০১৮/১০৮৬৭ (কাস) is affirmed.

28. Let a copy of this Judgment be sent to the Tribunal under the seal and signature of an officer of this court in view of Section 231 of the Customs Act, 2023.

29. Send down the records to the concerned authorities.

.....
(Syed Mohammed Tazrul Hossain,J)

I agree

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(Md. Bazlur Rahman,J)